RIDING THE GROWTH WAVE

Strong growth and tax relief have lifted confidence in the government's economic management, but unease persists over jobs, rising household expenses and a belief that policy gains still tilt toward the rich and big business

By **M.G. ARUN**

At the start of the New Year, India appears securely in the growth saddle. A combination of factors in 2025—benign inflation, tweaks to the Goods and Services Tax (GST) and cuts in direct taxes—has nudged consumption upward, delivering 8.2 per cent growth in the second quarter of the current financial year (FY26). This is not only higher than the 7.2 per cent recorded in the first quarter, but also above the expectations of many agencies, including the Reserve Bank of India (RBI). Even as questions persist over whether the data fully captures the economy's underlying realities, there is reason for optimism. The Centre now projects 7.4 per cent growth for FY26, suggesting that the momentum built in the second quarter is likely to sustain—barring surprises. Potential surprises, most notably US policy shifts under US president Donald Trump, could yet play spoilsport in what is otherwise being hailed as a 'Goldilocks moment' of strong growth and low inflation.

56 PER CENT
of higher-income respondents think the Modi govt's economic policies favour big business, compared to 50 per cent in the lower-income group

The latest INDIA TODAY Mood of the Nation (MOTN) survey reflects this optimism. Asked about the Modi government's handling of the economy, 48.8 per cent of the respondents rated it 'good' or 'outstanding', up slightly from August 2025. Those rating it 'poor' or 'very poor' fell to 28.6 per cent from 30.2 per cent. This shift is mirrored in expectations for the coming six months, with 35.8 per cent anticipating economic improvement, up from 33.1 per cent previously.

GROWTH IN COMMAND

In the current MOTN poll, 53.5 per cent say Prime Minister Narendra Modi has managed the economy better than the late PM Manmohan Singh, up from 44.6 per cent in August 2025. About 35 per cent report improved personal economic status since 2014, slightly higher than 33.1 per cent earlier. Yet, 31.6 per cent—though down from 33.7 per cent in August 2025—say their economic situation has deteriorated, underscoring the need to make growth more inclusive.

Two key measures in 2025 aimed to put more money in people's hands.